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rates for normal incomes are prescribed by the annual Finance Act, tax rates for certain special incomes have been prescribed under Income Tax Act itself. For instance, the following tax rates have been prescribed under Income Tax Act.

a. Tax on long term capital gain @ 20% (Section 112).

b. Tax on short term capital gain on shares covered under STT @15% (Section 111A).

c. Tax on lottery income @ 30% (Section 115BB)

ix. Administered by the Central Government

Income tax is administered by the Central Government (Ministry of Finance) with the help of 'Income tax department' with branches throughout the country. The Central Government has constituted the 'Central Board of Direct Taxes' (CBDT) which exercises overall control over the Income tax department by issuing guidelines for related matters.

x. Applicability

Income Tax is applicable throughout India including the State of Jammu and Kashmir.

Basic Concepts of Income Tax

i. Assessee[(Sec. 2(7)]

Assessee means a person by whom any tax or any other sum of money is payable under this Act. It includes every person in respect of whom any proceeding has been taken for the assessment of his income or assessment of fringe benefits.

ii. Person[Sec.2 (31)]

The term 'person' includes the following

(i) an individual,

(ii) a Hindu Undivided Family (HUF),

(iii) a company,

(iv) a firm,

(v) an Association Of Persons or a Body Of Individual, whether incorporated or not,

(vi) a local authority, and

(vii) every artificial juridical person e.g., an idol or deity.

iii. Assessment Year (A.Y)[Sec.2 (9)]

The term has been defined under section 2(9). The year in which tax is paid is called the assessment year. It normally consisting of a period of 12 months commencing on 1st April every year and ending on 31st March of the following year.

iv. Previous Year (P.Y)[Sec.(3)]

The year in which income is earned is called previous year. It is also normally consisting of a period of 12 months commencing on 1st April every year and ending on 31st March of the following year. It is also called as financial year immediately following the assessment year.

v. Income [Sec.2 (24)]

Income includes the followings;

i. Profits and gains of business or profession.

ii. Dividend

iii. Voluntary contribution received by a charitable / religious trust or university/ education institution or hospital/ electoral trust[w.e.f.01.04.2010]